

The only comments I received from Mark Ellenberg and Barry Dichter both of whom reviewed the analysis I sent you last night are:

1. To highlight that the assumption that VEPCO's ultimate right to the return of collateral would be deemed to be a claim for a margin payment or settlement payment is not entirely clear and, as noted in the analysis, that we believe it is a close call.
2. To point out that the absence of collateral upon setoff also likely constitutes a breach of the Master Agreement (again, we have not seen the contract), in addition to, and independent from, effectuating a depletion of margin collateral.

Otherwise, Mark and Barry concur with the analysis.

Rick Antonoff
212 504-6759
rick.antonoff@cwt.com

=====
===

NOTE: The information in this email is confidential and may be legally privileged. If you are not the intended recipient, you must not read, use or disseminate the information. Although this email and any attachments are believed to be free of any virus or other defect that might affect any computer system into which it is received and opened, it is the responsibility of the recipient to ensure that it is virus free and no responsibility is accepted by Cadwalader, Wickersham & Taft for any loss or damage arising in any way from its use.

=====
===